Ch. 27.1. CW

Principles of Macroeconomics

February 23, 2026

1. Atlas Corporation is in sound financial condition. It sells a long-term bond. Which of the following make the interest rate on this bond lower than otherwise?

   (a) Both Altas' sound finances and the long term of the bond.

   (b) Atlas' sound finances but not the long term of the bond.

   (c) The long term of the bond but not Atlas' sound finances.

   (d) Neither Atlas' sound finances nor the long term of the bond.

2. If the government's expenditures exceeded its receipts, it would likely

   (a) lend money to a bank or other financial intermediary.

   (b) borrow money from a bank or other financial intermediary.

   (c) buy bonds directly from the public.

   (d) sell bonds directly to the public.

3. Assume the bonds below have the same term and principal and that the state or local government that issues the municipal bond has a good credit rating. Which list has bonds correctly ordered from the one that pays the highest interest rate to the one that pays the lowest interest rate?

   (a) Corporate bond, municipal bond, U.S. government bond

   (b) Corporate bond, U.S. government bond, municipal bond

   (c) Municipal bond, U.S. government bond, corporate bond

   (d) U.S. government bond, municipal bond, corporate bond

4. You are thinking of buying a bond from Bluestone Corporation. You know that this bond is long term and you know that Bluestone's business ventures are risky and uncertain. You then consider another bond with a shorter term to maturity issued by a company with good prospects and an established reputation. Which of the following is correct?

   (a) The longer term would tend to make the interest rate on the bond issued by Bluestone higher, while the higher risk would tend to make the interest rate lower.

   (b) The longer term would tend to make the interest rate on the bond issued by Bluestone lower, while the higher risk would tend to make the interest rate higher.

   (c) Both the longer term and the higher risk would tend to make the interest rate lower on the bond issued by Bluestone.

   (d) Both the longer term and the higher risk would tend to make the interest rate higher on the bond issued by Bluestone.

5. Which of the following statements is correct?

   (a) The expected future profitability of a corporation influences the demand for its stock.

   (b) When a corporation sells stock as a means of raising funds it is engaging in debt finance.

   (c) The owners of bonds sold by the Microsoft Corporation are part owners of that corporation.

   (d) A corporation is paid every time its shares of stock are traded organized stock exchanges

6. Suppose the government finds a major defect in one of a company's products and demands that the product be taken off the market. We would expect that the

   (a) supply of existing shares of the stock and the price will both rise.

   (b) supply of existing shares of the stock and the price will both fall.

   (c) demand for existing shares of the stock and the price will both rise.

   (d) demand for existing shares of the stock and the price will both fall.

7. True or false: If the tax rate fell, holding municipal bonds would be less desirable, so the interest rates on them would fall.

8. A restaurant chain announces declining revenues. What's the name of the type of risk that this news raises for holders of this chain's bonds? What does this news do to the interest rate on this chain's bonds?

9. How do banks make profits?